

Example: The sequence of events normally to be expected is shown fairly well by the market action of Hiram Walker-Goderham and Worts Convertible 4¹/₄s described on the previous page. The bonds, issued in 1936 at par, ranged in price between 100 and 111¹/₄ during 1936–1939. In the same period the stock ranged between 26¹/₈ and 54. If the initial conversion price of 40 for the stock had prevailed throughout the period, the bonds should have sold for at least 135 when the stock sold at 54. But meanwhile, as the price of the stock rose, successive blocks of the bonds were converted (partly under the impetus supplied by successive calls for redemption of parts of the issue), thus tipping off higher conversion prices until the \$55 bracket was reached in 1937. In consequence the bonds did not appreciate commensurately with the rise in the price of the stock.⁵

When the last block under such a sliding scale is reached, the *competitive* element disappears, and the bond or preferred stock is then in the position of an ordinary convertible, free to advance indefinitely with the stock.

It should be pointed out that issues with such a sliding-scale provision do not always follow this theoretical behavior pattern. The Anaconda Copper Company Convertible 7s, for example, actually sold at a high premium (30%) in 1928, before the first block was exhausted. This seems to have been one of the anomalous incidents of the highly speculative atmosphere at the time.⁶ From the standpoint of critical analysis, a convertible of this type must be considered as having very limited possibilities of enhancement until the common stock approaches the last and highest conversion price.⁷

The sliding-scale privilege on a “block” basis belongs to the objectionable category of devices that tend to mislead the holder of securities as

⁵ See pp. 266–267 of the 1934 edition of this work for a more detailed exhibit of a similar record in Engineers Public Service Company \$5 Convertible Preferred in 1928–1929.

⁶ The size of the premium was due in part to the high coupon rate. The bonds were, however, callable at 110, a point that the market ignored.

⁷ In some cases (e.g., Porto Rican-American 6s, already mentioned, and International Paper and Power Company First Preferred) the conversion privilege ceases entirely after a certain fraction of the issue has been converted. This maintains the competitive factor throughout the life of the privilege and in theory should prevent it from ever having any substantial value.